

LEGEND™ LEGACY PROTECTION

Disability Insurance — Income Protection Guide

Disability insurance is designed to help replace a portion of income if you are unable to work due to sickness or injury. This is income protection—because your ability to earn is often your largest asset.

What Disability Insurance Planning Can Address

- Income replacement to keep bills paid and protect savings during a disability.
- Business continuity for self-employed professionals (options vary).
- Protecting retirement contributions by avoiding early withdrawals.
- Reducing dependence on family members during recovery.

Core Design Components

- Benefit amount — Often designed to replace a portion of earned income; insurer limits apply.
- Elimination (waiting) period — How long you must be disabled before benefits start (longer waits often lower premium).
- Benefit period — How long benefits can last (e.g., 2 years, 5 years, to age 65/67 depending on contract).
- Definition of disability — Especially the difference between own-occupation vs any-occupation definitions (contract-specific).
- Partial/residual disability — Helps if you return to work part-time or income is reduced due to disability (if included).

Optional Enhancements (If Available)

- Cost of Living Adjustment (COLA) — Can increase benefits during long disabilities (varies).
- Future increase option — Ability to increase coverage as income grows (subject to rules).
- Catastrophic disability benefit — Extra benefit for severe impairments (contract-specific).
- Non-cancelable/guaranteed renewable features — Policy protections vary by product.

When It Often Fits vs. When It Usually Does NOT Fit

Often Fits	Usually Does NOT Fit
• You rely on your paycheck/production to fund your lifestyle • You are self-employed or have variable income • Your household would struggle if income stopped for 3–12 months	• You have adequate guaranteed income that would continue (rare) • You are trying to insure short-term cash needs with a long-term product without planning liquidity • You are unwilling to disclose income/occupation accurately (coverage depends on it)

Education Checklist

- How long could you cover bills if income stopped tomorrow (30/90/180 days)?
- Do you understand your employer coverage (if any), taxable vs non-taxable benefits, and how long it lasts?
- What definition of disability does the policy use for your occupation?
- What elimination period matches your emergency reserves?
- Do you need residual/partial disability protection?

EDUCATIONAL DISCLOSURE: This guide is for educational purposes only and is not legal, tax, or insurance advice and is not a contract or policy. Definitions, limitations, exclusions, benefit amounts, and optional riders vary by insurer and state and are governed by the policy issued. Always review the policy's definition of disability, elimination period, and benefit period before purchase.

Protect your health. Protect your wealth. Protect your family. Protect your legacy.